recorded a turnover of Rs 12.23 lakh crore; BSE's turnover was only Rs 0.70 lakh crore.

The primary rationale for equity stock exchanges to exist is to enable entrepreneurs to raise capital. Equities are important assets and, therefore, wealth and savings managers trade in equity to manage investors' wealth. The function of raising equity capital is served in what is known as the primary market and the function of asset investment and management is served more by trading in what is known as the secondary market.

Indian equity stock exchanges served the purpose of enabling entrepreneurs to raise capital for many decades. However, for the past two decades, stock exchanges are increasingly becoming asset management vehicles. The regulatory environment has also become biased against raising equities for new ventures. A company needs a record of at least three years of profit to list on the mainboard, the principal stock exchange platform of NSE/BSE.

Equity issuances (all types: initial public offers or IPOs, follow-on public offers or FPOs, and rights issues) in India were a minuscule Rs 23,722 crore in 2018–19. The previous year, in 2017–18, the highest equity issuances of the decade were recorded at Rs 99,765 crore. The lowest equity capital raised through the stock exchanges was Rs 9434 crore in 2014–15. A total of Rs 3,47,672 lakh crore (data for nine months for 2019–20) was raised through equity issuances in the decade ending 31 March 2020, an average of Rs 34,767 crore per annum. For an economy of the size of Rs 200 lakh crore, Rs 30,000–40,000 crore of equity on average per annum is peanuts, less than 0.2 per cent of GDP.

There are virtually no equity funding institutions in India. Banks do not provide equity. There are no public financial institutions (the erstwhile IFCI, IDBI, ICICI are either closed or defunct) to provide equity. The problem for the start-up world is still more acute. Start-ups cannot list until